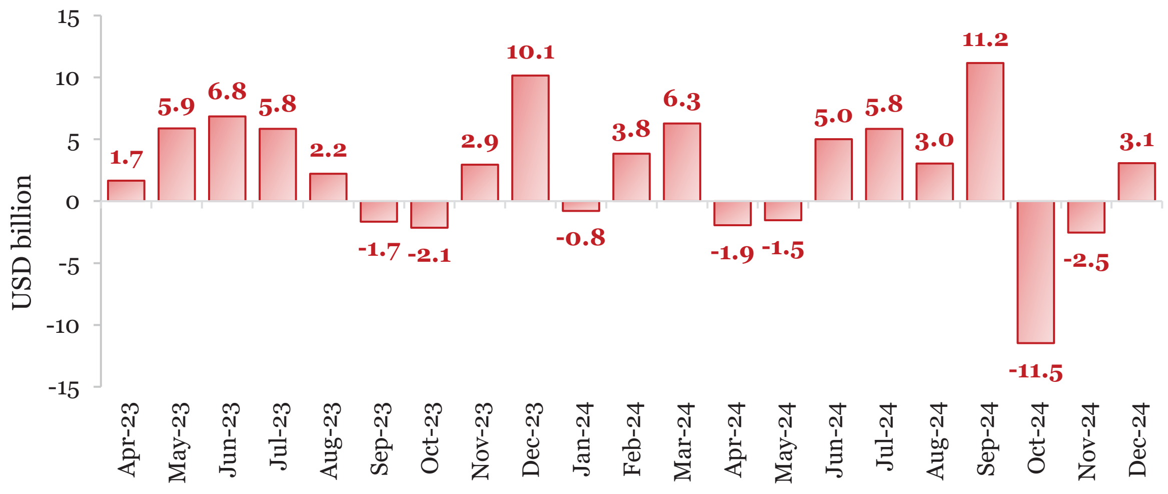
Performance of Portfolio flows

3.58 FPIs became net buyers in the Indian equity market starting in June 2024 after being sellers in the first two months of FY25. This trend continued until September 2024, showcasing a clear preference for Indian equities as FPIs injected substantial capital into the market over those months. However, this trend reversed in October and the first half of November 2024, resulting in a net outflow of USD 11.5 billion and 2.5 billion, respectively. Factors such as concerns about slowing earnings growth, high valuations, rising geopolitical tensions, and recent developments in China[96] led FPIs to withdraw significant funds from Indian equities. However, during the latter half of November 2024, FPIs became more optimistic about the Indian stock market, reversing the significant selling seen in October and early November 2024. This positive trend in FPI inflows continued in December 2024, with net inflows amounting to USD 3.1 billion in December 2024. Factors such as India's strong macroeconomic fundamentals, favourable business environment and robust economic growth have encouraged investors to reverse the outflow trend. On a cumulative basis, the net FPI inflows[97] into India slowed to USD 10.6 billion from April to December 2024 from USD 31.7 billion during the same period the previous year. The volatility in portfolio flows underscores the susceptibility of equity and bond markets to global developments. However, the sound economic and corporate fundamentals in India underpin the long-term attractiveness of the Indian equity market for foreign investors.

Chart III.16: Trends in foreign portfolio investment flows



Source: NSDL

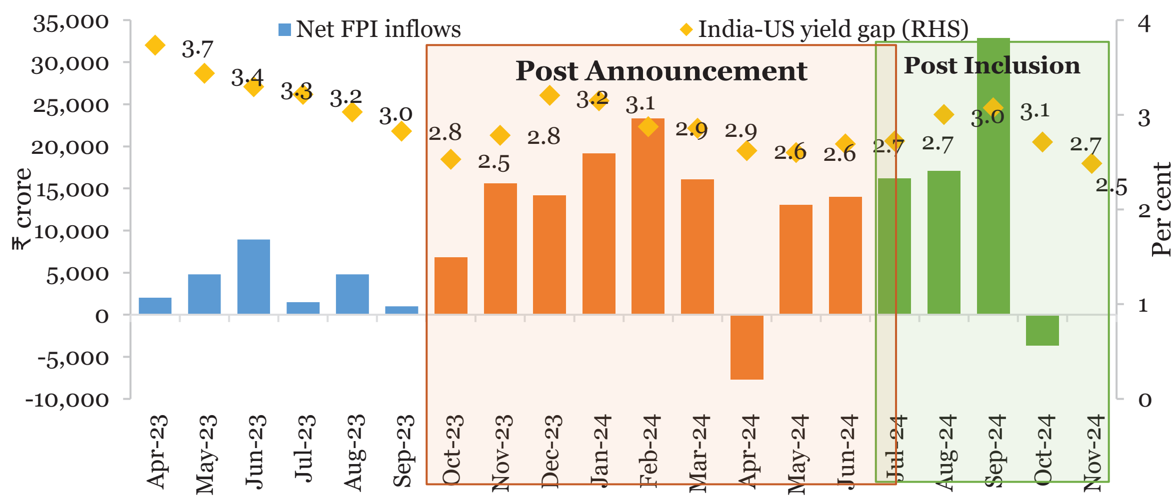
96 These include the stimulus measures announced by the Chinese Government and the cheap valuation of Chinese stocks.

97 Net FPI inflows is the sum of equity and debt inflows.

3.59 The inclusion of Indian Government Bonds (IGB) in some global bond indices this year has significantly supported debt inflows. Since the announcement of inclusion in JP Morgan index in October 2023, there has been heightened activity in the FPI debt segment with cumulative flows of ₹ 1.1 lakh crore from October 2023 to June 2024. Post effective date of inclusion, FPIs invested ₹ 62,431 crore in the debt segment from July to November 2024. Assets under custody, which reflects the total market value of the holdings, shows that FPI's cumulative investment in Fully Accessible Route (FAR) securities crossed the USD 20 billion mark within nine months of the announcement of their inclusion in the JP Morgan EM Bond Index. In FY25, as of 15 December 2024, inclusion already resulted in a net inflow of more than USD 3 billion in Indian FAR bonds, with assets under custody of India FAR bonds standing at USD 28 billion as of 15 December 2024.[98]

3.60 Since the investor sentiment/perception of the trajectory of Fed rates and the interest rate differentials are the key drivers of FPI flows in India, it will be interesting to analyse the trends in FPI debt flows and the yield differential between India and the US. Chart III.17 compares the FPI debt flows and the yield gap between India and US10 year yields, which shows that a widening yield differential in India's favour leads to higher inflows (November 2023 to March 2024) and vice-versa. India's strong growth fundamentals and range-bound inflation also made it a preferred choice amongst foreign investors despite the narrowing yield differentials seen from May to July 2024.

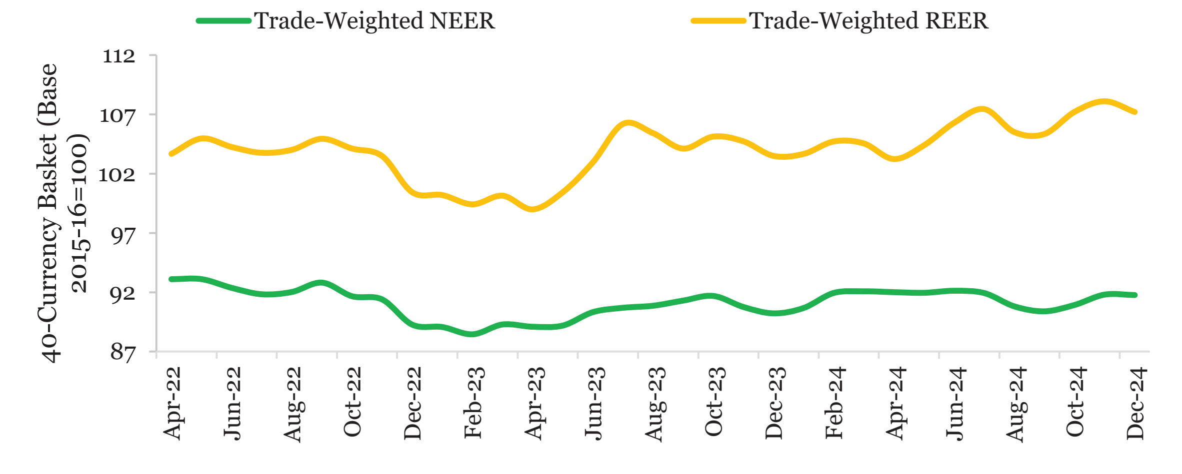
Chart III.17: Net flows by FPIs into debt segment



Source: SEBI

98 Based on the inputs received from the Securities and Exchange Board of India (SEBI).

Chart III.21: Trend in REER and NEER



Source: RBI

3.67 After adopting the floating exchange rate regime, Effective exchange rates have become a prominent measure of external competitiveness of an economy's tradable sector relative to the foreign tradable sector. The Nominal Effective Exchange Rate (NEER) for the INR remained stable in the 90-92 range from April to November 2024, indicating relative stability in the currency amidst external uncertainties. The Real Effective Exchange Rate (REER), which reflects the real purchasing power of the currency, steadily appreciated from 103.2 in April 2024 to 107.2 in December 2024.

External debt position

3.68 India's external debt has remained stable over the past few years. A stable external debt position has helped maintain external sector stability, significantly when the rest of the world is affected by geopolitical headwinds. The external debt to GDP ratio rose slightly from 18.8 per cent of the GDP at the end of June 2024 to 19.4 per cent at the end of September 2024. The share of short-term debt (with original maturity of up to one year) in total external debt decreased to 18.8 per cent at the end of September 2024 from 19.4 per cent at the end of June 2024. Similarly, its ratio to foreign exchange reserves decreased to 18.9 per cent at the end of September 2024 from 20.3 per cent at the end of June 2024. Across currencies, the external debt remained primarily denominated in the US Dollar (53.4 per cent), followed by the INR (31.2 per cent), SDR (5 per cent), and the Euro (3 per cent).